

Hasimuddin v. State of U.P. & 5 Others

High Court of Judicature at Allahabad · Single Judge · 2 September 2020 (common order in two connected writ petitions) · Writ-C No. 12870 of 2020 with Writ-C No. 13037 of 2020 (connected) · **Both writ petitions partly allowed. The petitioner challenged (i) the assessment order dated 24.10.2018 of the Electricity Distribution Division-2, UPPCL, Mugalsarai, Chandauli, and (ii) the appellate orders dated 2.7.2020 of the Commissioner Division, Varanasi, dismissing his appeals (Nos. C201914000000413 and C201914000000414 of 2019) for want of jurisdiction. The assessment had followed an FIR under Section 135 of the Electricity Act, 2003 (Case Crime No. 395 of 2018), the deposit and encashment of Rs. 8 lakh and Rs. 7 lakh as compounding charges, and a provisional and then a final assessment. The Single Judge held that assessment in such a case is carried out under Section 126 of the Act (Sections 126 and 135 being harmoniously interpreted, with the Special Court determining civil liability under Section 154(6)), that the remedy against a Section 126 assessment is a statutory appeal under Section 127, and that the High Court should normally decline to interfere under Article 226 with a final Section 126(3) assessment when a Section 127 appeal is available. As the State, by notification dated 14.7.2006, had conferred appellate power under Section 127 on the Commissioner of the division, and as this Court had earlier (order dated 18.2.2019 in the petitioner's own Writ-C No. 5391 of 2019) held that the petitioner had the Section 127 remedy, the Commissioner was not justified in dismissing the appeals for want of jurisdiction. The impugned appellate orders dated 2.7.2020 were quashed and the appeals restored to be decided expeditiously, preferably within two months; the assessment order itself was left to be tested in those restored appeals.**

Source file: WRIC(A)_12870_2020.pdf

HEADNOTE

An assessment following an FIR for theft under Section 135 of the Electricity Act, 2003 is nonetheless made under Section 126, appealable under Section 127; and where the State has conferred Section 127 appellate power on the Commissioner of the division, that authority cannot decline the appeal for want of jurisdiction. The petitioner, running a plastic unit on two connections (20 KV and 30 KV), faced an inspection and an FIR under Section 135 (Case Crime No. 395 of 2018); he deposited Rs. 8 lakh and Rs. 7 lakh as compounding charges, and a provisional and then a final assessment were made, followed by a recovery citation. His earlier writ against the recovery (Writ-C No. 5391 of 2019) had been dismissed on 18.2.2019 as he had a Section 127 appeal remedy; he then appealed to the Commissioner Division, Varanasi, who dismissed the appeals for want of jurisdiction. Allowing the writ petitions in part, the Single Judge held, relying on the Division Bench decisions in *Sandeep Kesarwani v. State of U.P.* and *Sanjay Singh v. State of U.P.* (and, through the latter, on *Executive Engineer, SOUTHCO v. Sri Seetaram Rice Mill*), that even where an FIR under Section 135 is lodged the assessment is carried out under Section 126 — the two provisions being harmoniously interpreted and the Special Court finally determining civil liability under Section 154(6) — and that the statutory remedy against such an assessment is a Section 127 appeal, the High Court normally declining to interfere with a final Section 126(3) assessment under Article 226 where that appeal is available. Since the State's notification dated 14.7.2006 conferred Section 127 appellate power on the Commissioner of the division, and this Court had already held (18.2.2019) that the petitioner had that remedy, the Commissioner was not justified in dismissing the appeals for want of jurisdiction. The appellate orders dated 2.7.2020 were quashed and the appeals restored for expeditious decision, preferably within two months.

FACTUAL SUMMARY

The petitioner, Hasimuddin, had established a plastic unit at village Bahadurpur under the Prime Minister's Employment Scheme and had taken two electricity connections — a 20 KV connection (Account No. 0526577687) and a 30 KV connection (Account No. 2569881000) — with a 63 KV transformer installed; his father held a separate agricultural connection for a 5 HP pumping set. On an inspection of the premises, an FIR under Section 135 of the Electricity Act, 2003 (Case Crime No. 395 of 2018, P.S. Mugalsarai, Chandauli) was lodged. The petitioner deposited two cheques (Rs. 8 lakh and Rs. 7 lakh) as compounding charges, which were encashed by the department on 11.9.2018. A provisional assessment bill was prepared, to which the petitioner objected, and a final assessment bill was then prepared under the U.P. Electricity Supply Code, 2005. A recovery citation was issued, which the petitioner challenged in Writ-C No. 5391 of 2019; that petition was dismissed on 18.2.2019 on the ground that the petitioner had the statutory remedy of appeal under the Electricity Act. The petitioner then filed appeals (after depositing the requisite amount) before respondent no.2, the Commissioner Division, Varanasi, who dismissed them (orders dated 2.7.2020 in Appeal Nos. C201914000000413 and C201914000000414 of 2019) on the ground that he had no jurisdiction to hear and decide them. By these two connected writ petitions the petitioner challenged both the

assessment order dated 24.10.2018 and the appellate orders dated 2.7.2020. The Single Judge (Hon'ble Piyush Agrawal, J.) decided both petitions by a common order dated 2.9.2020.

REUSABLE CONSTRUCTIONS

1. Even where an FIR for theft of electricity under Section 135 of the Electricity Act, 2003 is lodged, the assessment is carried out under Section 126 of the Act; Sections 126 and 135 are to be interpreted harmoniously to give effect to the object of the Act, and the Special Court trying the offence finally determines the civil liability under Section 154(6). ¶ ¶ 7-8
2. The statutory remedy against a final assessment under Section 126 is an appeal under Section 127 of the Act; the High Court should normally decline to interfere under Article 226 with a final Section 126(3) assessment where a Section 127 appeal is available. ¶ ¶ 8
3. Where the State Government, by notification (here dated 14.7.2006), has conferred Section 127 appellate power on the Commissioner of the division, that authority has jurisdiction to hear and decide the appeal and cannot dismiss it for want of jurisdiction. ¶ ¶ 6, 9

HOLDING-UNITS

HOLDING-UNIT · EA2003::127

RATIO

The remedy against a Section 126 assessment is a Section 127 appeal; the Commissioner of the division, empowered by the 14.7.2006 notification, has jurisdiction and cannot dismiss the appeal for want of jurisdiction

QUESTION

Is the remedy against a Section 126 assessment an appeal under Section 127, and did the Commissioner of the division — on whom the State conferred Section 127 appellate power by notification dated 14.7.2006 — have jurisdiction to hear the petitioner's appeal?

HOLDING

Yes on both counts. The assessment having been passed under Section 126, an appeal under Section 127 lies before the appellate authority as prescribed, and the State Government by its notification dated 14.7.2006 conferred the power to hear and decide such appeals on the Commissioner of the division. This Court had also earlier held, in the petitioner's own case (order dated 18.2.2019 in Writ-C No. 5391 of 2019), that the petitioner had the Section 127 remedy. The Commissioner was therefore not justified in dismissing the appeals for want of jurisdiction; the appellate orders dated 2.7.2020 were quashed and the appeals restored for expeditious decision. ¶ ¶ 6, 9-10

EVIDENCE “State Government by its notification dated 14.7.2006 has conferred the powers to the Commission of the division to hear and decide the appeal under Section 127 of the Electricity Act” ¶ ¶ 6

EVIDENCE “the Commissioner was not justified in dismissing the appeal of the petitioner on the ground that he has no jurisdiction to hear and decide the appeal of the petitioner under Section 127 of the Electricity Act” ¶ ¶ 9

FLAG Judgment with numbered paragraphs (pin_basis=paragraph). The source reads 'Commission of the division' where it means the Commissioner; quoted verbatim.

HOLDING-UNIT · EA2003::126

RATIO

Even where an FIR under Section 135 (theft) is lodged, assessment is under Section 126 (harmonious interpretation of 126 and 135, civil liability fixed by the Special Court under s.154(6)); the High Court normally declines Article 226 interference with a final s.126(3) assessment where a Section 127 appeal lies

QUESTION

Where an FIR for theft under Section 135 is lodged, can an assessment be made under Section 126, and should the High Court interfere with the final Section 126(3) assessment under Article 226 when a Section 127 appeal is available?

HOLDING

Yes to the Section 126 assessment; no to Article 226 interference. Relying on the Division Bench decisions in Sandeep Kesarwani and Sanjay Singh, even where an FIR under Section 135 of the Act is lodged the assessment has to be carried out under Section 126, Sections 126 and 135 being interpreted harmoniously to give effect to the object of the Act, with the Special Court trying the offence finally determining civil liability under Section 154(6). No ratio of the Apex Court supports the contention that theft under Section 135 precludes a Section 126 assessment. Following Executive Engineer,

SOUTHCO v. Sri Seetaram Rice Mill, the High Court should normally decline to interfere under Article 226 with a final Section 126(3) assessment where a statutory Section 127 appeal is available. ¶ ¶ 7-8

EVIDENCE “no such ratio has been laid down which may support the petitioner's case that in the cases of theft of electricity under Section 135 of the Act, 2003, no assessment can be undertaken under Section 126 of the Act, 2003” ¶ ¶ 7

EVIDENCE “Provisions of Sections 126 and 135 of the Act, 2003 has to be interpreted in a manner so as to give effect to the object and purpose of the Act, 2003” ¶ ¶ 7

EVIDENCE “the High Court should normally decline to interfere with the final order of the assessment passed by the Assessing Officer in terms of Section 126(3) of the Act in exercise of jurisdiction under Article 226 of the Constitution of India” ¶ ¶ 8

FLAG Drawn from the reproduced passages of the Division Bench judgments in Sandeep Kesarwani (11.2.2014) and Sanjay Singh (9.2.2017), the latter quoting SOUTHCO v. Seetaram Rice Mill (2012 (2) SCC 108).

PRINCIPLE TAGS

theft-assessment-is-under-s126-appealable-s127 Even after an FIR under Section 135, the assessment was made under Section 126 and the remedy was a Section 127 appeal; the two provisions were harmonised and civil liability left to the Special Court under Section 154(6). Lead authorities: *Sandeep Kesarwani v. State of U.P.*, *Sanjay Singh v. State of U.P.* ¶ ¶ 7-8

final-assessment-order-relegates-assessee-to-section-127-appeal The petitioner's remedy against the final Section 126 assessment was the Section 127 appeal; the High Court would not interfere under Article 226 while that remedy was available, and the wrongly-declined appeals were restored. Lead authorities: *Executive Engineer, SOUTHCO v. Sri Seetaram Rice Mill* [SCJ-041]. ¶ ¶ 8-9

commissioner-of-division-has-jurisdiction-over-section-127-appeal The State notification dated 14.7.2006 conferred Section 127 appellate power on the Commissioner of the division, who therefore could not dismiss the appeals for want of jurisdiction. ¶ ¶ 6, 9

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE MERITS/VALIDITY OF THE SECTION 126 FINAL ASSESSMENT DATED 24.10.2018 AND THE QUANTUM OF THE ASSESSED DUES

Not examined; left to be decided in the restored Section 127 appeals, the High Court declining to interfere under Article 226 while that statutory remedy was available. ¶ ¶ 8, 10

RELATED CASES — SEE ALSO

SCJ-041 — SOUTHCO v. Sri Seetaram Rice Mill — the Supreme Court authority relied on here that the High Court should decline Article 226 interference with a final Section 126(3) assessment where a Section 127 appeal lies.

SCJ-040 — Section 126 assessment and the Section 127 appeal remedy (*Kapil Gupta v. U.P. Power Corporation Ltd.*).

SCJ-069 — Section 127 appeal against an assessment — cognate relegation to the statutory appellate remedy.

SCJ-008 — Section 127 appeal remedy against assessment/billing action.

SCJ-034 — Section 126 assessment sibling in the unauthorised-use / theft context.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Sandeep Kesarwani v. State of U.P. and others</i> Writ-C No. 69101 of 2013 (Allahabad HC, DB), decided 11.02.2014 High Court of Judicature at Allahabad	Even where an FIR under Section 135 (theft) is lodged, an assessment under Section 126 can be made; Sections 126 and 135 must be interpreted harmoniously to give effect to the object of the Act, and no Apex Court ratio precludes a Section 126 assessment in theft cases.	Relied on ¶ ¶ 7	Court	Relied on
<i>Sanjay Singh v. State of U.P. and others</i> Writ-C No. 5519 of 2017 (Allahabad HC, DB), decided 09.02.2017	Even where an FIR is under Section 135, assessment is carried out under Section 126 and the Special Court finally determines civil liability (Section 154(6)); the remedy is a	Relied on ¶ ¶ 8	Court	Relied on

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
High Court of Judicature at Allahabad	Section 127 appeal, and the High Court declines Article 226 interference when that appeal is available.			
<i>Executive Engineer, Southern Electricity Supply Company of Orissa Ltd. (SOUTHCO) v. Sri Seetaram Rice Mill</i> 2012 (2) SCC 108 [SCJ-041] Supreme Court of India	The High Court should normally decline to interfere under Article 226 with a final Section 126(3) assessment passed by the Assessing Officer where a statutory Section 127 appeal is available; the Act distinguishes unauthorised use (Section 126) from theft (Section 135).	Relied on ¶ ¶ 8	Court	Relied on

SCJ-2224 · Hasimuddin v. State of U.P. & 5 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.